

EG Update

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【メール原文】

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Dear Satoshi,

It's Eurasia Group Chairman Gerald Butts here, filling in for Ian as he captures the last of summer on Nantucket Island. He'll be back next week, but for now I hope you'll enjoy this dispatch from north of Lake Ontario – or, depending on your preferred navigation app, Lake America. This year, I want to focus on how the 2020s geopolitical will accelerate energy transitions around the world, for better and worse.

The G-Zero Twenties are a decade of geopolitical disruption.

An astute member of the Eurasia Group macro team noted that last week we entered the late 2020s, mathematically speaking. It is therefore not too early look at this decade as a piece. Disruption has been its hallmark. Russia's invasion of Ukraine, China's emergence as a new energy exporter of global significance, and the United States' resurgent muscularity in the Middle East and its own hemisphere have wobbled a set of assumptions that kept energy systems stable for more than a generation.

There is an old joke in energy policy circles that systems are built on three principles: affordability, reliability, and sustainability. Policymakers can choose any two at any given time. System planners privilege reliability uber alles, politicians default to affordability, while advocates make the case for sustainability. Ratepayers everywhere are left with the results of this tug of war, most of which happens behind the meter, in rooms they may be vaguely aware of, but to which they seldom have access.

For much of recent history, that debate has been predictable. Traditional forms of fossil energy have dominated systems around the world on reliability and affordability grounds, while advocates and progressive politicians have nibbled at the edges with sustainability arguments for renewables and to a lesser extent nuclear. Globalization (backed by an implicit US security guarantee) ensured that despite important regional flare-ups, planners could depend on the free flow of hydrocarbons and rapid technology transfers to maintain peace and relative prosperity in energy policy.

It was nice while it lasted, but those days are largely over due to three macro factors that are destabilizing the consensus everywhere: technological innovation, geopolitical disruption, and climate change. None of these factors alone would likely produce the profound change we are currently experiencing in energy systems globally, but together they are generating energy transitions at a velocity few would have predicted even a decade ago.

Policymakers now have to contend with innovation driving down the cost of renewables (especially solar + battery storage) as they scale, geopolitical instability undermining the model of system planning where reliability can be assured with feedstock extracted far from the country where it's ignited to create usable energy, and climate change's geographically variegated impact dialing pressure up or down depending on local exposure. All of this is of course happening against the backdrop of an AI boom that is driving demand for electricity in important countries, like the United States, that have not seen it grow in a generation.

Pity the policymakers who have to sort through this brave new world, and the planners who have to design energy systems to power it.

Local is the new global

In this context, the implications of the Iran war on global energy systems will be long-lasting and structural. They won't necessarily be seen in near-term price dynamics for oil and gas; those are largely lost in day-to-day headlines about airstrikes and ceasefire negotiations. But lessons from it (like those learned from the Russia/Ukraine War) will drive how policymakers plan future energy systems, particularly how they insure against future geopolitical risk. With few probable scenarios for improvement in the short to mid-term, governments have little choice but to plan energy systems around a series of scenarios for additional disruption.

Those discussions are already underway in capitals everywhere. One thing is relatively certain: reliability in the form of localism has risen to the top of policymakers hierarchy of needs. This is not novel. Indeed, local availability has been a decisive factor in energy since we were leaving caves to cut down trees for cook fuel. However, it is now clear that hyperglobalization obscured how anomalous an era it was that we've lived through; one in which an ever-increasing supply of such fuel is extracted several thousand miles away, and transported peacefully via an invisible infrastructure to satisfy our every want.

This is not an academic observation in 2026. Already this decade policymakers in many of the world's fastest growing energy markets have twice seen contracted supply fail to arrive due to geopolitical disruption. For this reason alone, governments are likely to prioritize energy systems built first and foremost around local availability of supply, regardless of energy type. For energy importers like China, India, the EU, Japan, and Korea, expansion of any domestic energy source will mean future energy import risk mitigated. Many of these markets will look for ways to displace imported molecules with domestically produced electrons. High consumption markets started to move in this direction after Russia-related disruptions in 2022, but the Iran war will make this trend decisive and unmistakable.

In a G-Zero world, governments will see all necessarily recurring forms of energy import as a vulnerability, regardless of the reliability of specific suppliers. This is a sound risk assessment on their part. After all, given the geopolitical environment, which country could be considered a reliable partner over the life cycle of the assets that would run on their feedstock?

Importantly, this concern will persist regardless of conditions in global oil and gas markets at any given time. Global energy markets were heading towards an oversupply/low-price environment before February, and were similarly well-supplied heading into winter 2022. A return to a low-price environment for oil and gas—which may come quickly if and when Iran disruptions recede—will not tempt governments in large energy consuming markets to forget the energy-related volatility of the last 4 years.

Risks related to other import chokepoints are also becoming more plausible. Panama Canal transit slots this autumn are being reduced due to water levels. Red Sea and Suez Canal risks are rising from Houthi-related instability. Hybrid threats from Russia on European energy infrastructure are growing. Even Malacca-related chokepoints are a long-term cause for concern as Chinese activity towards Taiwan becomes more muscular. The cumulative risk from all these chokepoints means planners everywhere will build novel contingencies that deprioritize other policy objectives.

Energy market implications: importers and exporters, electrons and molecules, next-gen tech and current-gen tech

A sober view of this environment means different things for different markets, depending on energy type. A few key lessons stand out the most:

First, the political appetite for energy import growth among the largest global energy importers is declining. This does not mean that imports are about to enter freefall; but import growth will be harder to count on. China is the clearest and most important example. China's oil imports will not return to pre-Iran War levels (which were already weak compared to pre-Covid growth norms). Guidance in China's latest Five Year Plan for the construction of a "new type energy system," calls for more domestic electrification and support for domestic technologies like coal-to-chemicals that can substitute traditional energy imports. Even Beijing's stubborn refusal to sign off on the Power of Siberia II mega-gas pipeline (despite the cozy China-Russia relationship, overland nature of the pipeline, and low prices offered by Moscow) reflect Beijing's desire to avoid new import dependencies in this geopolitical environment.

India will not become China's successor growth market for energy imports. It will instead pursue domestic renewables, domestic coal, and development of related supply chains. India's push in this direction still relies on Chinese inputs and export control approvals (which are becoming harder to secure), but India's strategic prioritization of domestic energy will gain additional momentum post-Iran.

Without a clear pathway to significant growth among the largest importers, global energy exporters will need to be more precise in terms of where export demand growth is still likely. No combination of demand growth from small markets will compensate for large market trends. This holds major implications for the LNG market in particular.

Second, the specific energy types that benefit in this environment will vary by market, and will include some combination of coal, renewables, hydro, and nuclear. In general, most large energy consuming markets will view these disruptions as a rationale to expand domestic electrification wherever possible. Markets in Asia will predominately expand support for both coal and renewables. Hydro and nuclear projects, long de-prioritized in many countries' energy mixes, are commanding much more interest. Nuclear power projects will be even more of a geopolitically-driven energy class than they were pre-Iran; see Sweden's nuclear tender in June, India's latest push on nuclear, and Canada's intention to build new reactors east and west.

Domestic electrification will be doubly driven by the rise of data center power demand around the world. In the US—otherwise focused on expanding molecule exports—domestic power demand from data centers is driving a gigantic wave of new generators, largely gas-fired. This wave of gas-fired facilities will remain active in the US for a long-time and further separate the US power sector trajectory from many other countries globally. But this data center power sector revival is also plowing enormous piles of capital into new energy technologies like fuel cells, solid state transformers, and grid optimization technologies. Those technologies will change how other global markets electrify.

Third, the country best positioned to capture geopolitical benefits from this shift will be China. Although reliance on Chinese new energy technologies (like EVs, battery storage, solar, wind, and power electronics) comes with its own set of geopolitical risks for importers, these are different in kind from those presented by imported molecules. Particularly for smaller emerging markets that struggle to outbid European or East Asian buyers during moments of LNG supply disruption, they will view Chinese cleantech equipment as a form of localized energy production.

Some markets like the EU and India will be more ambitious in trying to set up their own new energy manufacturing ecosystem and limiting the prevalence of Chinese components. But many others will

welcome the opportunity to import at lower cost, trading Chinese cyber/supply chain risks for chokepoint/price risks in traditional energy markets. The geopolitical dichotomy between the energy export offering from Beijing versus the energy export offering from Washington has become even clearer in recent months than we articulated in January (see Top Risk #2 of our 2026 report: Overpowered). One notable watchpoint for China is whether Beijing decides to host the COP33 climate conference in November 2028 (just days after the next US election). This would indicate a larger Chinese appetite for global leadership on energy/climate issues and reflect Beijing's view of the geopolitical opportunity presented by current events.

Last, the environment for energy-related technology improvements is improving more rapidly than many observers appreciate. Utility scale 8-hour (and soon 12-hour) battery storage systems have started in market and will scale quickly. New battery chemistries will mean faster charging times and longer ranges for EVs.

Many of these types of breakthroughs will happen first in China and take time to spill out. But in the long-term those technologies are likely to find their way into most global markets one way or another, even if the political pathway for this process is idiosyncratic.

Conclusion: Be careful what you wish for (in geopolitics)

I've often thought that the most under-appreciated geopolitical development of the 21st century so far has been the United States growth in domestic oil production from ~3.5 mbpd at the turn of the century to ~13.5 mbpd at present. Coupled with the birth and scale-up of the global LNG trade, it has delivered to presidents Trump, Obama, and Biden the holy grail of energy independence sought by every president since the end of World War II. It has scrambled domestic politics: the America First movement may not have been caused by it but is hard to imagine without it. It allowed each of those three presidents to reorder alliances and pursue idiosyncratic trade and foreign policy goals.

Presently, however, it has become metastatic. It has both fuelled and become the primary objective of a bellicose US diplomatic and military posture within its hemisphere and, again, in the Middle East. It may have reduced America's reliance on foreign markets, but it has come with a concomitant reduction in its own reliability as an economic and security partner. Finally, it has doubtless extended its reliance on fossil fuels in an era of climate change acceleration.

For Beijing, the 2020s have so far been a strong geopolitical decade. It has avoided major military errors of the kind made by Russia and the United States, and it has doubled down on new energy production, creating fearsome new capacity up and down the supply chain from EVs and drones to critical mineral production and refining. Notwithstanding these remarkable achievements, it is far from clear that apex predator status will be as durable in the new energy era as it was in the old. After all, the essence of what makes it attractive is its local replicability at scale. As the explosive growth in solar panel production in countries as different as India, Jordan, and Vietnam are demonstrating, electrons are harder to ring fence than carbon molecules. And there is still lots of work ongoing in the non-China world in pursuit of electron-based technology breakthroughs that could create new supply chains not dominated by Beijing.

Two superpowers pursuing radically different and uncertain energy paths will contribute to a deeply contested and turbulent geopolitical environment for the foreseeable future. We remain a long way from a new stable equilibrium.

That's it for me. I hope to many of you this autumn. Headed to Singapore for our first ever G-Zero Asia Summit, then back home (with stops in Abu Dhabi and Vienna) in time to see the hardwoods put on their annual show in eastern Canada. As always, I welcome hearing from you, especially if you think I missed something important or got a big thing wrong.

Best,

Gerry

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